

Unit 3 – Section 3: Decision-Making Techniques

Quick-Fire & IAL-Style Teacher Pack

Topic 1: Quantitative Sales Forecasting

Quick-Fire Questions

1. Define sales forecasting.
2. Explain one purpose of using a sales forecast.
3. Identify two methods of forecasting sales.
4. Explain one benefit of using quantitative forecasting methods.
5. Explain one limitation of moving averages as a forecasting tool.
6. Define correlation and explain its importance in forecasting.
7. Explain the difference between extrapolation and moving averages.
8. Identify one external factor that can affect the accuracy of a forecast.
9. Explain why businesses use past sales data for planning.

IAL-Style Exam Tasks

- Explain one benefit of using quantitative sales forecasting for a business such as Tesco. [4]
- Discuss whether sales forecasts are always reliable for fast-changing markets. [12]

Plenary Question

How might poor forecasting impact a firm's marketing and production decisions?

Topic 2: Investment Appraisal (Payback, ARR, NPV)

Quick-Fire Questions

10. Define investment appraisal.
11. Identify the three main investment appraisal techniques.
12. Explain the term payback period.
13. Explain the formula for average rate of return (ARR).
14. Explain what is meant by net present value (NPV).
15. Explain one advantage of using NPV over other methods.
16. Identify one limitation of investment appraisal techniques.
17. Explain how time affects the value of money in investment decisions.

IAL-Style Exam Tasks

- Calculate the ARR and advise whether the project should be accepted. [4]

- Evaluate whether NPV is the most useful investment appraisal method for multinational firms like Apple. [20]

Plenary Question

Is payback period the most realistic method for decision-making in small firms?

Topic 3: Decision Trees

Quick-Fire Questions

18. Define a decision tree.
19. Explain what is meant by expected monetary value (EMV).
20. Identify one advantage of using decision trees in business decisions.
21. Identify one limitation of decision trees.
22. Explain what probabilities represent in decision trees.
23. Explain how managers can use decision trees to reduce risk.
24. Identify one reason why decision trees are useful for complex decisions.

IAL-Style Exam Tasks

- Explain one benefit to a business such as Toyota of using decision trees. [4]
- Discuss whether decision trees are more useful than intuition in strategic decision-making. [12]

Plenary Question

Can data-driven decisions ever fully replace managerial judgement?

Topic 4: Critical Path Analysis (CPA)

Quick-Fire Questions

25. Define critical path analysis.
26. Explain the term critical path.
27. Identify one purpose of network diagrams in project planning.
28. Explain what is meant by float time.
29. Explain one advantage of CPA for managing complex projects.
30. Explain one limitation of CPA.
31. Identify one factor that might cause the actual project time to differ from the forecasted time.
32. Explain how CPA can help reduce project delays.

IAL-Style Exam Tasks

- Construct a simple network diagram and identify the critical path. [4]
- Evaluate the usefulness of CPA in improving operational efficiency for large-scale projects. [20]

Plenary Question

Does critical path analysis guarantee project success? Justify with examples.

Topic 5: Contribution and Special Orders

Quick-Fire Questions

33. Define contribution per unit.
34. Explain how contribution is calculated.
35. Identify one use of contribution in decision-making.
36. Define the term break-even point.
37. Explain what is meant by a special order decision.
38. Explain one reason a business might accept a special order below normal price.
39. Identify one limitation of using contribution analysis alone.
40. Explain how fixed and variable costs influence contribution.

IAL-Style Exam Tasks

- Explain one advantage to a business of using contribution analysis for pricing decisions. [4]
- Assess whether accepting a special order is always beneficial for a business such as Greggs. [8]

Plenary Question

Why might contribution analysis be more relevant for short-term than long-term decisions?